



Public Competition Assessment

30 January 2026

Woolworths Limited - proposed acquisition of the SUPA IGA Karabar supermarket

The ACCC's decision

1. On 26 May 2023 the Australian Competition and Consumer Commission (**ACCC**) announced its decision to oppose the proposed acquisition by Woolworths Group Limited (**Woolworths**) of the independent supermarket operating as a SUPA IGA in Karabar, NSW (**SUPA IGA Karabar**) and co-located liquor business and associated liquor licence trading as Liquor Boss (the **proposed acquisition**).
2. The ACCC considered the proposed acquisition would be likely to have the effect of substantially lessening competition in contravention of section 50 of the *Competition and Consumer Act 2010* (the **Act**). Section 50 prohibits acquisitions that would have the effect, or be likely to have the effect, of substantially lessening competition in any market.
3. The ACCC considered the competitive effects of the proposed acquisition in the following markets:
 - the retail supply of grocery products in the local Queanbeyan/Jerrabomberra area,
 - the retail supply of grocery products in the broader Queanbeyan/ACT area,
 - the retail supply of packaged liquor for off-site consumption in the local Queanbeyan/Jerrabomberra area, and
 - the wholesale supply of groceries in the broader Queanbeyan/ACT area.
4. This Public Competition Assessment outlines reasons for the decision by the ACCC to oppose the proposed acquisition.
5. Please note that this and other public competition assessments are subject to the following qualifications:

- The ACCC considers each transaction on a case-by-case basis and so the analysis and decision outlined in one assessment will not necessarily reflect the ACCC's view of another transaction.
- As assessments are relatively brief and do not refer to confidential information, assessments do not necessarily set out all of the issues and information considered by the ACCC.
- The ACCC's findings and conclusions set out in this public competition assessment reflect information available to the ACCC at the time of its decision and do not attempt to take into account developments in the industry subsequent to the ACCC's decision.

The parties and the transaction

The acquirer: Woolworths Group Limited

6. At the time of the ACCC's decision, Woolworths was one of Australia's largest grocery retailers, operating 1,095 stores across Australia.¹ Woolworths operated two supermarkets near SUPA IGA Karabar: one in Queanbeyan and the other in Jerrabomberra.

The target: SUPA IGA Karabar and Liquor Boss

7. SUPA IGA Karabar was an independent supermarket selling a range of groceries and liquor in an attached liquor store (trading as Liquor Boss), located in Karabar, NSW. Karabar was a small residential suburb approximately 2.5 km from the town centre of Queanbeyan, NSW, south-east of Canberra.
8. The owner of SUPA IGA Karabar and Liquor Boss also owned the Karabar Shopping Mall in which they were located. Karabar Shopping Mall was approximately 4,500 sqm and housed 15 tenancies. SUPA IGA Karabar was its sole grocery offering.

The transaction

9. Woolworths proposed to acquire 100% of the grocery and liquor business associated with SUPA IGA Karabar from Karabar Property Pty Ltd.

Review timeline

10. The following table outlines the timeline of key events for the ACCC in this matter.

Date	Event
17 August 2022	ACCC commenced informal review under the Informal Merger Review Process Guidelines.
7 September 2022	Closing date for submissions.

¹ Woolworths Group, [Woolworths Group 2023 Annual Report](#), p 33.

Date	Event
8 November 2022	Timeline suspended pending receipt of further information. Former proposed decision date for announcement of ACCC's findings (10 November 2022) delayed.
5 December 2022	ACCC timeline recommenced.
8 December 2022	ACCC published a Statement of Issues outlining preliminary competition concerns.
12 January 2023	Closing date for submissions.
20 March 2023	ACCC awaiting information from Woolworths. Former provisional date for announcement of findings (23 March) delayed.
14 April 2023	ACCC timeline recommenced.
18 April 2023	Former proposed date for announcement of ACCC's findings (20 April) delayed at Woolworths' request.
26 May 2023	ACCC announced that it opposed the proposed acquisition.

Market inquiries

11. The ACCC conducted market inquiries with a range of industry participants, including competitors, potential competitors, customers, wholesalers and other industry bodies. The ACCC sought submissions in relation to the potential competition issues arising from the proposed acquisition.

Statement of issues

12. On 8 December 2022 the ACCC published a Statement of Issues on the proposed acquisition. In the Statement of Issues, the ACCC stated its preliminary view that the proposed acquisition was likely to substantially lessen competition in the retail market for the supply of grocery products in the local area surrounding SUPA IGA Karabar.

Competition analysis

Future with and without the acquisition

13. In assessing a proposed acquisition under section 50 of the Act, the ACCC considered the effects of the acquisition by comparing the likely future state of competition if the acquisition proceeded (the 'with' position) to the likely future state of competition if the acquisition did not proceed (the 'without' position) to determine whether the proposed acquisition was likely to substantially lessen competition in any relevant market.
14. If Woolworths were to have acquired the target site, it would then have been rebranded as a Woolworths Metro store. Accordingly, SUPA IGA Karabar's range of delicatessen products, local and imported specialty continental products

and IGA private label branded products, along with other aspects of its differentiated offer, including its local decision making, service and site amenity, alternative pricing and promotional cycles, would have been replaced with Woolworths' Metro offering. The vendor submitted that if the acquisition were to proceed, it would have renovated the Karabar Shopping Mall and established a speciality delicatessen in the centre.

15. The ACCC considered that the likely future without the proposed merger would be the status quo, where SUPA IGA Karabar would continue to operate as an IGA or another independent supermarket, under either current or alternative ownership with a similar differentiated offering.

Market definition

16. The ACCC's starting point for considering which markets may be affected by the proposed acquisition was to identify the areas of overlap between the products actually or potentially supplied by the merger parties. The ACCC then considered other actual or potential suppliers of those products, as well as what other products constituted sufficiently close substitutes to provide a significant source of constraint on the merged entity.

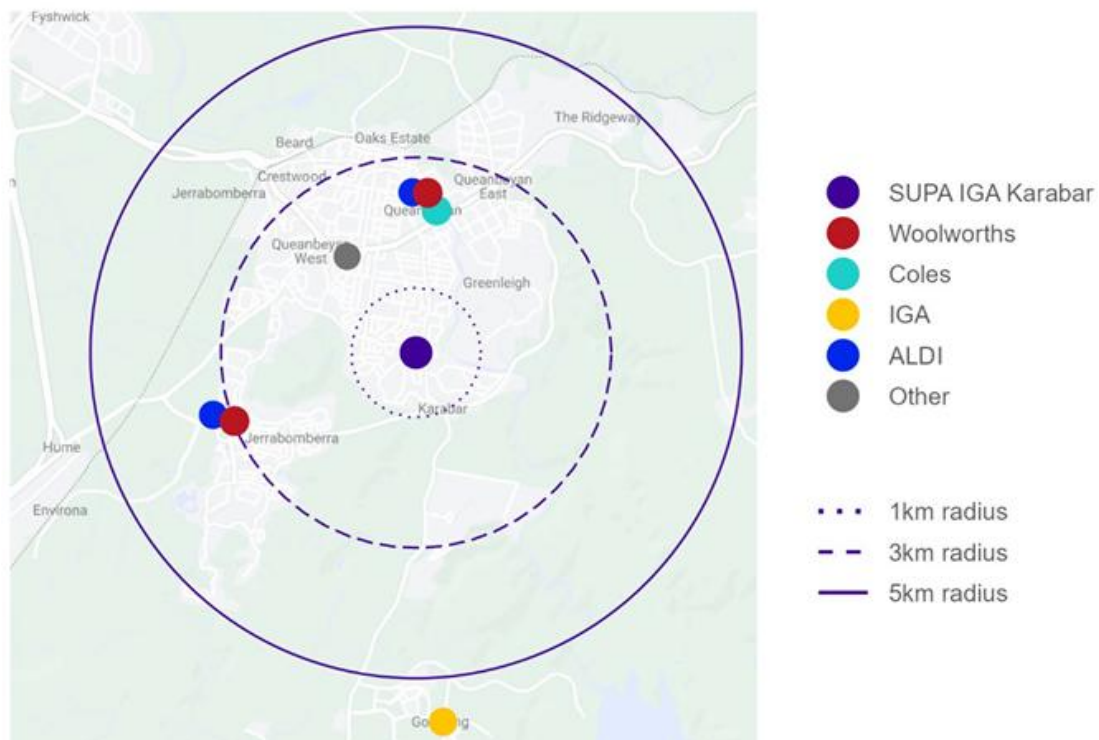
Market for the retail supply of groceries

17. The parties overlapped in the retail market for the supply of grocery products. Within the broader Queanbeyan region, Woolworths operated a full-line supermarket in both Queanbeyan and Jerrabomberra, and the target operated the SUPA IGA store in Karabar. There were also a Coles supermarket and two ALDI supermarkets in the local area.
18. The ACCC excluded convenience stores from the product market, as the degree of competitive pressure convenience stores place on the full-line supermarkets in the local Queanbeyan/Jerrabomberra area was not likely to be strong.

Local geographic market

19. The ACCC considered the appropriate geographic dimension of the retail market for the supply of groceries to be a 3-5 km radius surrounding SUPA IGA Karabar (see **Figure 1**). The ACCC's investigation and market inquiries indicated that sales to customers residing further than 5 km from SUPA IGA Karabar were uncommon, occurring mainly when the customer is in the area for another purpose.
20. The ACCC considered supermarkets in Googong, including the Cannons IGA, were not close substitutes for SUPA IGA Karabar because Googong was isolated from Karabar. The ACCC's investigation and market inquiries indicated that residents of Googong were likely to regularly pass through or near Jerrabomberra and Karabar but residents of the local Queanbeyan/Jerrabomberra area would generally not pass through or frequent Googong. While the ACCC did not consider Cannons IGA to be in the same local market, the ACCC did have regard to the potential competitive dynamics between Cannons IGA and SUPA IGA Karabar.

Figure 1: Map of supermarkets in Karabar and surrounding suburbs



Substantial lessening of competition in the retail market for the supply of grocery products in the local area

Market concentration and alternative suppliers

21. The ACCC's investigation found that the retail market for the supply of grocery products in the Queanbeyan and Jerrabomberra area was already highly concentrated and that replacing SUPA IGA Karabar with a Woolworths store would further increase this concentration.
22. The proposed acquisition would result in Woolworths operating three of six supermarkets in the local Queanbeyan and Jerrabomberra area. Within both a 3 km and 5 km radius of SUPA IGA Karabar, local consumers would be left with one Coles and two ALDI stores as alternatives, reducing the number of alternative supermarket operators with a significant size and range from four to three.

SUPA IGA Karabar's differentiated shopping experience

23. The ACCC considered that the proposed acquisition would remove the competitive tension provided by SUPA IGA Karabar's differentiated shopping experience, including in relation to its local decision-making, product range and quality, service levels, pricing and promotions.
24. The ACCC considered SUPA IGA Karabar's ability to make range and service decisions locally and independently enabled it to respond to local considerations and preferences.

25. The ACCC found that SUPA IGA Karabar's ability to compete with national supermarket chains and their offerings through this local decision-making provided material competitive tension in the local area.
26. The ACCC found that the range and quality of products available at SUPA IGA Karabar differed from those available at Woolworths, Coles and ALDI.
27. Market feedback indicated that the range and quality of products were key points of differentiation for SUPA IGA Karabar. The range included delicatessen products, local and imported specialty continental products and IGA's private label branded products, which were not available at other supermarkets in the area.
28. The ACCC considered that the proposed acquisition would result in the loss of SUPA IGA Karabar's differentiated product mix, which was likely to be replaced by Woolworths' offering. Although some of these products may have been made available if the vendor were to establish a speciality delicatessen in the centre in the future with the acquisition, this may not have occurred, and even if it did, the ACCC considered that this would be insufficient to replace SUPA IGA Karabar's integrated convenience offering.
29. The ACCC also considered that the proposed acquisition would remove the competitive tension posed by SUPA IGA Karabar's ability to adapt dynamically and independently to changes in local customer range preferences.
30. Market feedback indicated that customers valued the higher level of personalised customer service at SUPA IGA Karabar, including through its staffed checkouts, local staff and community focus.
31. The ACCC considered there were competitive benefits arising from a locally owned supermarket needing to offer service levels that responded dynamically to local customer preferences (and changes to those preferences) in order to compete with other supermarket operators in the area. Post-acquisition, this benefit would have been lost, and the remaining supermarkets would be operated by three competitors who make standardised service level decisions at a state or national, rather than at a local level.
32. The ACCC considered the proposed acquisition would also have removed the competitive tension provided by SUPA IGA Karabar's differentiated pricing and promotional offering in the local market.
33. Supermarkets compete both on shelf pricing and on the frequency and types of promotions and discounts available. The promotional cycles in supermarkets tended not to overlap for similarly stocked items, such that no one supermarket was likely to have the lowest price on every item at any one time.
34. As such, the ACCC considered that access in a local market to a variety of separately owned supermarkets with differing pricing and promotional cycles provided a benefit to local customers via the ability to shop at each different supermarket for items at the cheapest available price.

Barriers to entry and expansion

35. The ACCC considered that barriers to entry to supermarket retailing were generally high. In particular, there were considerable lead times and sunk costs

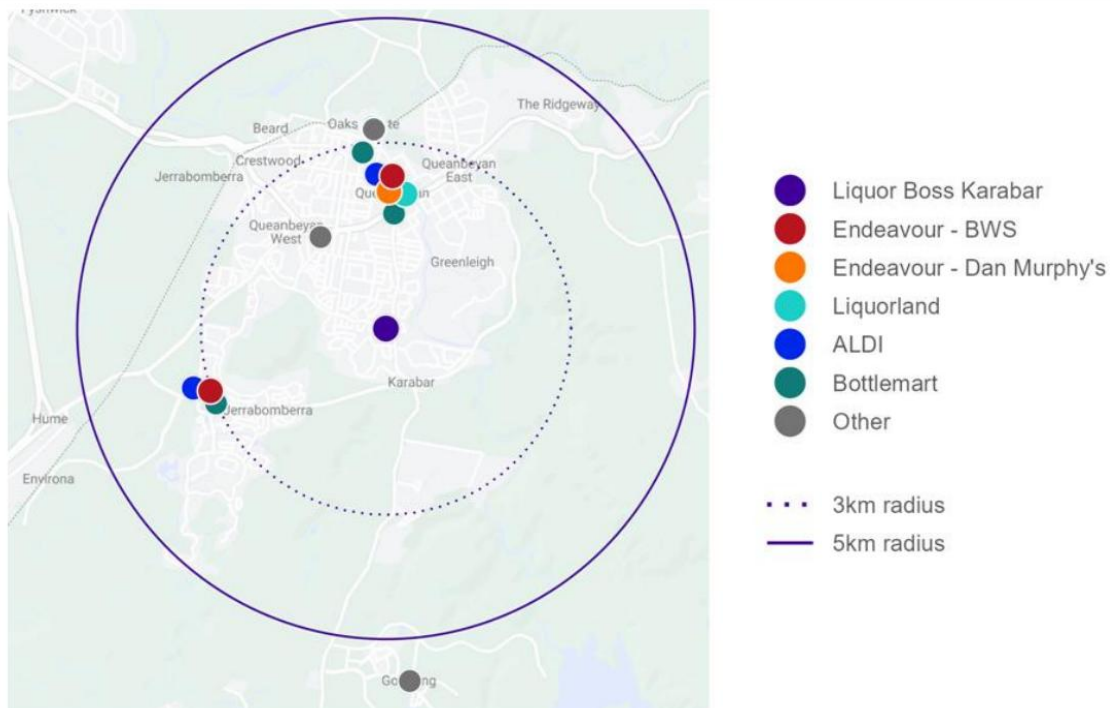
involved in establishing a new supermarket store, in a market already served by multiple existing supermarket stores, including nationally scaled incumbents.

36. During its review, the ACCC was aware of a proposed supermarket in the broader geographic region at Googong Central. The ACCC considered the proposed supermarket at Googong Central, like other supermarkets in Googong, would be unlikely to provide a material constraint on the combined entity had the proposed acquisition proceeded.
37. The ACCC considered that any additional potential entry in the local area was unlikely to occur in a sufficient and timely manner to alleviate concerns in the local market raised by the proposed acquisition.

Reduction in competition in the retail market for the supply of liquor for off-site consumption in the local area

38. The ACCC considered the retail market for the supply of packaged liquor for off-site consumption in the local area surrounding SUPA IGA Karabar, as depicted in **Figure 2**. The ACCC did not consider it was necessary to precisely define the geographic scope of this market.
39. The ACCC concluded that the loss of the liquor store attached to SUPA IGA Karabar (trading as Liquor Boss) would not substantially lessen competition in the relevant market. Following the acquisition, a range of liquor store operators would have remained within the local area and would continue to competitively constrain the liquor store attached to SUPA IGA Karabar.

Figure 2: Map of liquor stores in Karabar and surrounding suburbs



Reduction in regional, state or national competition between supermarkets and liquor stores

40. The ACCC considered that major supermarkets including Woolworths and Coles, banner groups, like IGA, and liquor store chains, like Liquor Boss competed both locally to attract customers and also competed in wider geographic markets on a regional, state or national level.
41. The ACCC concluded that the loss of a single store, SUPA IGA Karabar, would be unlikely to substantially lessen competition between supermarkets in the retail supply of grocery products in the broader region.
42. Similarly, the ACCC concluded that the proposed acquisition would have been unlikely to substantially lessen competition between liquor store chains in the broader region. More than 5 retail banners offering retail packaged liquor would remain and continue to provide a competitive constraint on liquor store chains in the wider area.

Impact on wholesale supply of groceries to independent supermarkets

43. The ACCC concluded that the proposed acquisition would be unlikely to substantially lessen competition in the wholesale supply of groceries in the broader region given the size of SUPA IGA Karabar as a customer in relation to overall wholesale grocery supply volumes.

Conclusion

44. Based on the above conclusions, the ACCC determined that the proposed acquisition of SUPA IGA Karabar by Woolworths was likely to substantially lessen competition in the retail market for the supply of grocery products in the local Queanbeyan/Jerrabomberra area in contravention of section 50 of the Act. As such, the ACCC decided to oppose the proposed acquisition.